

Less means more

When goods are in plentiful supply, the price of them is lower than when they are in short supply. It is easy to take for granted things that are readily available everywhere, and not value them very highly. There are even some things, such as the air we breathe, that are known as “free goods.” This means that these goods are freely available to us all the time. On the other hand, there are things that are much rarer, such as gold and diamonds, for which we will pay large sums of money. Because the supply of these rare commodities is far less than the demand for them, they are said to have a “scarcity value.” So, the less of something there is the more it is worth and the more of something there is the less it is worth.